

NOTICE OF THE MEETING

NOTICE IS HEREBY GIVEN that the Fifty Sixth ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 20 July 2006 at 10.00 a.m. for the following purposes.

Special Business:

1. To re-appoint a Director

Mr. D.B White who attained the age of 70 on 5 February 2005 retires by rotation at the fifty sixth Annual General Meeting scheduled for Thursday 20 July 2006.

SPECIAL NOTICE is hereby given of the Board's recommendation to the members to consider the re-appointment of Mr. D.B.White to the Board, and if thought fit, pass the following resolution as an **ORDINARY RESOLUTION**.

"That Mr. D.B.White be and is hereby re-appointed as a Director pursuant to Section 186 (5) of the Companies Act"

Ordinary Business:

2. To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2006.
3. To declare a dividend.
4. To elect Directors:

Mr. S.C.A Koech retires by rotation and being eligible offers himself for re-election.

In accordance with Article 114 of the Articles of Association, Mr. A.S Marsh who was appointed a Director of the Company on 2 March 2006 retires and being eligible offers himself for re-election.

5. To approve the remuneration of the Directors.
6. To authorize the Directors to agree the remuneration of the Auditors.
7. To transact such other competent business as may be brought before the meeting.

BY ORDER OF THE BOARD

M M WACHIRA
SECRETARY

14th June, 2006

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her and such proxy need not also be a Member of the Company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the Company so as to arrive not later than Twenty Four hours before the meeting.

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2006

CONTENTS	PAGES
NOTICE OF THE MEETING	2
COMPANY INFORMATION	3
CHAIRMAN'S STATEMENT	4 - 7
REPORT OF THE DIRECTORS	8
CORPORATE GOVERNANCE	9 - 10
STATEMENT OF DIRECTORS' RESPONSIBILITIES	11
REPORT OF THE AUDITORS	12
CONSOLIDATED INCOME STATEMENT	13
CONSOLIDATED BALANCE SHEET	14
COMPANY BALANCE SHEET	15
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	16
COMPANY STATEMENT OF CHANGES IN EQUITY	17
CONSOLIDATED CASH FLOW STATEMENT	18
NOTES TO THE FINANCIAL STATEMENTS	19 - 43
FOUR YEAR COMPARATIVE STATEMENT	44

CHAIRMAN'S STATEMENT

We have just gone through one of the most difficult trading periods in the last five years, where the severe drought in the last quarter of the year has had a devastating effect on our Tea production as well as other operations. In certain areas we experienced Tea bushes drying up and weekly factory operations reduced to three days from our normal six days operations. The effect was also felt by our Greenleaf suppliers and hence an overall drop in production of Black Tea.

The strong Kenya Shilling against the trading currencies mainly of Dollars and Sterling Pounds resulted in reduced sales realizations thereby eroding our profitability and contributing to constrained cash flows.

The combination of reduced crop production, lower sales realizations as well as increased cost of wages and social facilities has resulted in a loss position from last year's good results.

Based on the results and the continuing anticipated decline in World Tea prices, your Directors are recommending payment of a Dividend of Cents 50 per share. (2005 -Shs. 5/00).

TEA

Crop in Kgs of made tea on our Estates was as follows:-

	2006	2005	2004
CHANGOI	3,714,035	4,529,735	3,714,073
KAIMOSI	3,031,116	3,635,214	2,535,558
TINDERET	1,818,333	2,221,562	1,660,279

CAPITAL INVESTMENT

During the year we incurred Capital Expenditure of Shs. 70,299,000 which was spent on new Factory Machinery, buildings, schools, labour housing and upgrading of transport on our Estates. A further Kshs 17,069,000 was spent on land preparation and planting of new Tea fields and fuel plantations.

PROPERTY

The Williamson House property continues with full occupancy for the eight floors under our ownership.

WILLIAMSON POWER

There were no major changes in operations.

ENVIRONMENT

The Estates have continued with their planned and sustainable programmes of tree planting for both fuel and timber including developing nurseries and planting a wide variety of indigenous trees and bamboo throughout the Estates.

SOCIAL CONTRIBUTION

The major salient facts under this heading include:-

- i) As mentioned in my previous year's report we continue to support and improve the social facilities within our Estates where we have over 2,867 people in our employment who in turn support over 15,000 dependants. We continue to operate 4 Primary Schools, 1 Secondary School, and 5 Health Clinics.
- ii) The Group's foreign currency net sales amounted to the equivalent of Shs. 947,000,000 (2005 Shs. 1,052,040,000).

WILLIAMSON TEA KENYA LIMITED

Incorporated 15 December 1952

COMPANY INFORMATION

SHARE CAPITAL	Authorised:	
	17,512,640 ordinary shares of Sh. 5/- each, Sh. 87,563,200	
	Issued and fully paid:	
	8,756,320 ordinary shares of Sh. 5/- each, Sh. 43,781,600	
GROUP COMPANIES	Tea production Companies:	
	Williamson Tea Kenya Limited	- CHANGOI ESTATE (Incorporating LELSA ESTATE)
	Kaimosi Tea Estates Limited (wholly owned)	- KAIMOSI ESTATE
	Tinderet Tea Estates (1989) Limited (82% owned)	- TINDERET ESTATE
	Kapchorua Tea Company Limited - (39.56% owned)	- KAPCHORUA ESTATE
	Other wholly owned companies:	
	Williamson Power Limited	- GENERATOR SERVICES
	Tea Properties Limited	- DORMANT
	Tea Manufacturing and Supplies Limited	- DORMANT
	Lelsa Tea Estates Limited	- DORMANT
	Other:	
	Williamson Developments Limited - (50%) owned	- PROPERTY

DIRECTORS AND PROFESSIONAL ADVISERS

DIRECTORS	N G Sandys-Lumsdaine* -Executive Chairman
	EA Bristow
	S CA Koech
	P Magor*
	E N K Wanjama
	D B White
	A S Marsh* (Appointed 2 March, 2006)
	* British
SECRETARY	M. M. Wachira Certified Public Secretary (Kenya) P O Box 42281 - 00100, Nairobi
REGISTERED OFFICE	1 st Floor, Williamson House, 4th Ngong Avenue, P O Box 42281 - 00100, Nairobi
AUDITORS	Deloitte & Touche Certified Public Accountants (Kenya) "Kirungii", Ring Road, Westlands, P O Box 40092 - 00100, Nairobi
BANKERS	Barclays Bank of Kenya Limited Barclays Plaza Business Centre, P O Box 46661 - 00100, Nairobi
	Standard Chartered Bank Kenya Limited Kenyatta Avenue Branch, P O Box 40310 - 00100, Nairobi
LAWYERS	Kaplan & Stratton 9th Floor, Williamson House, 4th Ngong Avenue, P O Box 40111 - 00100, Nairobi
	Walker Kontos Hakika House, Bishops Road, P O Box 60680 - 00200, Nairobi

NAKALA YA MWENYEKITI

Tumepitia kipindi kigumu sana kibiashara mwaka huu tukilinganisha na miaka mitano iliyopita, kwa vile kulikuwa na kiangazi kikubwa kilochokumba vibaya hali ya mazao pamoja na uendeshaji wa kazi zingine hapo mwishoni wa mwaka hasa miezi ile mitatu ya mwisho. Sehemu zingine michai ilikauka na kazi ya viwandani ikapunguka kutoka siku sita za kawaida kwa kila wiki mpaka siku tatu tu kwa wiki. Hali hii pia ilikumba wakulima wetu wa nje wanaotuuza majani chai hali ambayo ilisababisha upungufu wa mazao yaliyopatikana.

Shilingi ya Kenya ambayo ilikuwa imeimarika kwa dhamana ikilinganishwa na dolla ya Marekani na pauni ya Uingereza ilisababisha upungufu wa mauzo na faida na pia ikachangia kuwepo ukosefu wa fedha za kutumia.

Upungufu wa mazao na mauzo na pia kuongezeka kwa gharama ya mishahara ya wafanyi kazi na gharama ya rasilimali ya kudumu kwa mambo ya jamii ilisababisha matokeo ya hali ya hasara ikilinganishwa na matokeo mazuri ya mwaka uliyopita.

Kufuatia matokeo haya na kutarajiwa kuwemo na upungufu wa bei kwa masoko ya ulimwenguni, wakurugenzi wenu wamependekeza gawio la sumuni kwa kila hisa moja, (mwaka uliopita 2005 Shs. 5/=)

CHAI

Mazao yaliyopatikana kwa kilo yalikuwa kama ifuatavyo:-

	2006	2005	2004
CHANGOI	3,714,035	4,529,735	3,714,073
KAIMOSI	3,031,116	3,635,214	2,535,558
TINDERET	1,818,333	2,221,562	1,660,279

RASIMALI

Hapo mwakani jumla ya Shs. 70,299,000/= zilitumika kwa mipango ya kugharamia rasimali kwa mashamba yetu yote. Hii ni pamoja na upandaji chai, ujenzi wa manyumba, mashule, makao ya wafanyi kazi na kustawisha uchukuzi. Zingine Shs 17,069,000/= zikatumika kwa kuandalia upandaji wa michai pamoja na miti ya kuni.

MALI

Nyumba ya Williamson House inaendelea kuwa na wateja katika orofa zote nane tunazozimiliki

UHANDISI

Hatukuwa na mabadiliko yoyote mwaka huu.

MAZINGARA

Mashamba yote yanaendelea na mipango ya kupanda miti ya misitu pamoja na ile ya kiasili na ile ya bamboo.

MCHANGO WA MAMBO YA JAMII

Mambo makubwa chini ya dibaji hii ni pamoja na:

- (i). Kama nilivyowajulisha mwaka uliopita tunaendelea kusaidia na kuimarisha rasilimali kwa mambo ya jamii kote Mashambani na sasa kuna wafanyi kazi 2,867 walioajiriwa, na zaidi ya watu 15,000 wanaowategemea kote kwa kundi letu.

Tunaendelea shule nne za msingi, shule moja ya upili na vituo vitano vya afya.

- (ii). Pesa zetu za kigeni tulizozipata kutokana na mauzo zilikuwa Sh. 947,000,000 (mwaka jana 2005 Sh 1,052,040,000)
- (iii). Kampuni hii na viunga vyake imelipa serikali kodi ya Shs. 34,997,000, na kodi zingine za Tea Board of Kenya za Sh10,730,000 ambazo zinatumiwa kwa mabaraza ya miji na pia kwa kamati ya kusitawisha barabara

CHAIRMAN'S STATEMENT (Continued)

- iii) The Group paid to the Government Corporation Tax of Shs. 34,977,000 and Agricultural Produce Cess to the Tea Board of Kenya of Shs. 10,730,000 for disbursement to the Local Councils and Tea Road Committees in the areas where we operate.
- iv) Labour related wages and expenses now amount to over 60% of our production costs with the group having incurred Kshs 64,280,000 towards labour and social welfare, leave pay, estate transport, health and educational services. A total of KShs. 7,711,000 was spent on Capital Expenditure in respect of Welfare Facilities at the Estates.
- v) Certificates of Compliance are held from the Tea Sourcing Partnership in the United Kingdom, confirming the high standards of our operating procedures and Corporate Social Responsibility.

STAFF

Messrs. Samuel Thumbi, Tom Lloyd and John Kosgei continue as General Managers at Changoi, Tinderet and Kaimosi respectively as does Solomon Koech as Visiting Agent and Zabron Mugo as our Group Engineer.

I would wish to once again thank them together with all Management and Staff at all levels including our Nairobi Office and Engineering Staff for their great efforts during the year.

CORPORATE GOVERNANCE

Your Board places great emphasis in the area of good Governance and Corporate Social Responsibility which is becoming an increasing requirement of our Buyers Overseas and an expanded note is included in a later part of this report.

DIRECTORS

During these hard times your Board together with Management have embarked on various strategies both at the operations level and marketing in order to counter the effect of the prevailing environment for Tea especially in view of the World over supply position and the strong Kenya Shilling.

In conclusion I would thank the Directors for their support and contribution at our regular Board and Audit Committee Meetings.

N.G.SANDYS-LUMSDAINE
Chairman

14th June, 2006

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of the group for the year ended 31 March 2006.

ACTIVITIES

The principal activities of the group are the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators.

GROUP RESULTS

	Sh'000
Loss before taxation	(86,666)
Taxation credit	28,391
Loss after taxation	(58,275)
Minority interest	3,227
Net loss for the year	(55,048)
	=====

DIVIDENDS

The directors recommend the payment of a first and final dividend of Sh 0.50 per share, totalling Sh 4,378,200 in respect of the year.

DIRECTORS

The current board of directors is shown on page 2.

Mr. I D C BurrIDGE resigned as director on 10th August 2005 and Mr. A S Marsh was appointed in his place on 2nd March 2006.

In accordance with Article 114 of the Articles of Association, Mr. A S Marsh who was appointed a Director of the Company on 2nd March 2006 retires and being eligible offers himself for re-election.

Mr. E A Bristow retires from the Board after serving for 21 years.

In accordance with the articles of association Mr. S C A Koech retires by rotation and being eligible offers himself for re-election.

Mr. D B White having attained the age of 70 on 5th February 2005 retires by rotation and being eligible offers himself for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with the provisions of section 159 (2) of the Companies Act.

BY ORDER OF THE BOARD

M.M. WACHIRA
Secretary

25th May, 2006

NAKALA YA MWENYEKITI (Yaendelea)

- katika wilaya zile tunakuza chai.
- iv). Sasa mishahara ya wafanyi kazi pamoja na gharama zingine zina wahuu zinajumuishwa kuwa zaidi ya asilimia sitini ikilinganishwa na gharama za uzalishaji mazao. Kampuni zetu zilitumia Sh.64,289,000 kama rasilimali ya kutoa huduma bora hasa vifaa vya elimu na afya kote kikundini na jumla ya Sh 7,711,000 zilitumika kwa rasilimali ya kudumu kwa mambo ya jamii kote mashambani.
- (v). Tunaendelea kuhifadhi vyeti vya kukubaliana na mapendekezo ya "Tea sourcing partnership" ya uingereza. Hii inathibitisha ubora wa chai yetu inayotengenezwa katika hali ya juu na kwamba usalama wa wafanyi kazi wetu unazingatiwa.

WAFANYI KAZI

Bw. Samuel Thumbi, Bw. Tom Lloyd na Bw. John Kosgei wanaendelea kama meneja wakuu kule Changoi, Tinderet na Kaimosi.

Bw. Solomon Koech anaendelea kama mkurugenzi wa ustadi kote kundini na Zabron Mugo akiwa ndiye mhandisi mkuu.

Kwa niaba yetu zote ningependa kuwashukuru wote pamoja na wafanyikazi wao na pia wale wafanyi kazi wetu wa ofisi ya Nairobi na wale wa kazi ya uhandisi kwa kazi yao nzuri mwaka huu.

MUONGOZO

Bodi yenu inazingatia mambo ya kuendelea kampuni vile ilivyopendekeshwa na pia kuangalia mambo yote ya kijamii ambayo sasa wanunuzi wa chai yetu kutoka nchi za nje wanapendekeza.

Pamoja na nakala ya wakurugenzi kumeandikwa cheti kupanua zaidi juu madaraka kuhusu pendekezo juu ya uendezaji bora wa mashirika.

WAKURUGENZI

Wakati huu mugumu Bodi yenu pamoja na wakuu wa Kampuni wameanza hila mbali mbali jinzi ya kuendesha Kampuni na pia kuongeza masoko ili kuzuia hali ambayo inasababisha kuwemo kwa viwango vya juu kwa mazao hali inayokumba biashara ya majani chai ulimwenguni. Hii ni pamoja na kuwemo shilingi ya Kenya ilivyoimarika zaidi.

Kwa kumalizia ninatoa shukurani kwa wakurugenzi wenu kwa kutimiza wajibu wao na pia kwa kuhudhuria vikao vya Bodi pamoja na mambo ya ile mikutano ya mkaguo wa hesabu katika kamati kila mara.

N.G.SANDYS-LUMSDAINE
Mwenyekiti

14th June, 2006

CORPORATE GOVERNANCE (Continued)

MAJOR SHAREHOLDERS AND ANALYSIS OF SHAREHOLDERS

The Company files with CMA and NSE a quarterly report on the top 10 major share holders and investors return on a monthly basis.

As at 31 March 2006 the top 10 major shareholders were as follows;

	Name		Location Shares	No of %
1.	Ngong Tea Holdings Limited	London	4,506,164	51.50
2.	Upstream Investments Limited	Nairobi	324,673	3.70
3.	The Heritage All Insurance Co. Ltd	Nairobi	215,000	2.50
4.	Insurance Company of East Africa Ltd	Nairobi	150,000	1.70
5.	Kirtesh P. Shah	Nairobi	133,586	1.50
6.	Barclays (Kenya) Nominees Ltd A/c 9230	Nairobi	115,792	1.30
7.	Old Mutual Life Assurance Co. Ltd	Nairobi	112,444	1.30
8.	Kenya Commercial Bank Staff Pension	Nairobi	112,011	1.30
9.	Craysell Investments Ltd	Nairobi	100,000	1.10
9.	Barclays (Kenya) Nominees Ltd A/c 1256	Nairobi	100,000	1.10
10.	Phoenix E.A. Assurance Co. Ltd	Nairobi	84,856	1.00

Analysis of Shareholders

By region:

Region	Number	Shares held	%
Foreign investors	54	4,714,902	53.80
Local & East Africa investors (Individuals)	986	1,768,138	20.20
Local & East Africa investors (Institutional)	177	2,273,280	26.00
	1,217	8,756,320	100.00
	===	=====	=====

By shares distribution:

Less than 500.	486	141,052	1.60
500-10,000	676	1,439,929	16.50
10,001- 100,000	47	1,490,759	17.00
100,001-1,000,000	7	1,178,416	13.40
Above 1,000,000	1	4,506,164	51.50
	1,217	8,756,320	100.00
	===	=====	=====

CORPORATE GOVERNANCE

Corporate Governance is the process and structure used to direct and manage business affairs of the Company towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long term value while taking into account the interest of other stakeholders.

The Company is committed to business integrity and professionalism in all its activities. As part of this commitment the Board fully supports issues articulated by the Capital Market Authority so as to bring the level of Governance in line with International Standards.

We confirm that we are governed by the Rules and Regulations as issued by both the Nairobi Stock Exchange (NSE) and the Capital Markets Authority (CMA).

BOARD OF DIRECTORS

The full Board meets at least once every quarter for scheduled meetings and on other occasions to deal with specific matters that may require attention between the scheduled meetings. The Directors are given appropriate and timely information so that they can make well informed and balanced business decisions as well as planning for the future and growth of the Company. Scheduled meetings include review of annual and half year accounts and annual budgets together with monitoring of business and operational issues. During the year the board held five meetings. Except for direction and guidance on general policy, the Board has delegated authority for conduct of the day-to-day business to the Chief Executive assisted by a Team of able Managerial Staff.

AUDIT COMMITTEE

The Board constituted the Audit Committee in 1998 which meets at least four times in the year and chaired by an independent non executive Director. Its responsibilities include but not limited to review of financial information in particular half year and annual financial statements, annual budgets, liaison with the external auditor and maintaining oversight on internal controls. During the year the committee held four meetings including an extensive visit to the Estates.

INTERNAL CONTROLS

The Board is responsible for the Company's system of internal controls and for reviewing their effectiveness. The Company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the Company complies with all Kenya Laws and Regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally revalued regularly.

COMMUNICATION WITH SHARE HOLDERS

The Company places a great deal of importance on communication with its shareholders and publishes in the local dailies its financial statements on half year and annual basis. The full report and accounts are distributed to all shareholders on an annual basis.

**REPORT OF THE AUDITORS TO THE MEMBERS OF
WILLIAMSON TEA KENYA LIMITED**

We have audited the financial statements on pages 13 to 43 for the year ended 31 March 2006 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 11, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the company and the group at 31 March 2006 and of the loss and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

DELOITTE & TOUCHE
Certified Public Accountants (Kenya)

14th June 2006

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure the group and the company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

S.C.A. KOECH
Director

D. B. WHITE
Director

25th May, 2006

**CONSOLIDATED BALANCE SHEET
AS AT 31 MARCH 2006**

	Note	2006 Sh'000	2005 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	10	693,869	714,215
Prepaid operating leases	11	45,981	46,032
Investment properties	12	355,000	308,148
Investment in associated companies	13	278,502	290,830
Other investments	15	1,349	1,309
Biological assets	16	1,256,146	1,317,036
		<u>2,630,847</u>	<u>2,677,570</u>
Current assets			
Inventories	17	100,316	183,178
Trade and other receivables	18	234,110	314,660
Due from associated company	19	25,095	5,819
Taxation recoverable	6	15,957	719
Investments in unit trusts	22	-	15,000
Short term deposits	23	25,000	51,000
Cash and bank balances		124,053	84,008
		<u>524,531</u>	<u>654,384</u>
Total assets		<u>3,155,378</u>	<u>3,331,954</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		163,996	180,083
Revenue reserve		2,028,439	2,067,400
Proposed dividend (gross)		-	43,782
Equity attributable to equity holders of Williamson Tea Kenya		<u>2,236,217</u>	<u>2,335,047</u>
Minority interest	26	82,043	87,295
Total equity		<u>2,318,260</u>	<u>2,422,342</u>
Non current liabilities			
Deferred income taxes	27	512,865	548,425
Service gratuity	28	113,949	118,261
Borrowings	29	-	19,110
		<u>626,814</u>	<u>685,796</u>
Current liabilities			
Trade and other payables	30	154,389	173,968
Taxation payable	6	8,691	22,252
Finance lease obligations	31	-	142
Due to associated company		584	23
Borrowings	29	44,447	25,065
Unclaimed dividends		2,193	2,366
		<u>210,304</u>	<u>223,816</u>
Total equity and liabilities		<u>3,155,378</u>	<u>3,331,954</u>

The financial statements on pages 13 to 43 were approved by the board of directors on 25th May 2006 and were signed on its behalf by:

S.C.A. KOECH

D.B. WHITE

} Directors

**CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 31 MARCH 2006**

	Note	2006 Sh'000	2005 Sh'000
REVENUE FROM SALE OF TEA	2(a)	985,059	1,198,588
FAIR VALUE LOSS ON BIOLOGICAL ASSETS	16	(77,712)	(28,010)
OPERATING INCOME		<u>907,347</u>	<u>1,170,578</u>
COST OF SALES		<u>(942,285)</u>	<u>(965,371)</u>
GROSS (LOSS)/PROFIT		(34,938)	205,207
OTHER OPERATING INCOME		164,491	114,763
DISTRIBUTION COSTS		(79,689)	(91,125)
ADMINISTRATIVE EXPENSES		(117,487)	(99,918)
OPERATING (LOSS)/PROFIT	3	<u>(67,623)</u>	<u>128,927</u>
NET FINANCE COSTS	5	(13,036)	(3,123)
SHARE OF RESULTS OF ASSOCIATED COMPANIES	13	(6,007)	13,950
(LOSS)/PROFIT BEFORE TAXATION		<u>(86,666)</u>	<u>139,754</u>
TAXATION CREDIT/(CHARGE)	6	28,391	(43,182)
(LOSS)/PROFIT AFTER TAXATION	7	(58,275)	96,572
MINORITY INTEREST	26	<u>3,227</u>	<u>(8,341)</u>
NET (LOSS)/PROFIT FOR THE YEAR ATTRIBUTABLE TO SHAREHOLDERS		<u>(55,048)</u>	<u>88,231</u>
COMPRISING:			
(LOSS)/PROFIT ARISING FROM OPERATING ACTIVITIES		(1,893)	111,056
LOSS ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS (NET OF ATTRIBUTABLE TAXATION)		(53,155)	(22,825)
NET (LOSS)/PROFIT FOR THE YEAR		<u>(55,048)</u>	<u>88,231</u>
(LOSS)/EARNINGS PER SHARE - Basic and diluted	8	<u>Sh (6.29)</u>	<u>Sh 10.08</u>
DIVIDENDS PER SHARE	9	<u>Sh 0.50</u>	<u>Sh 5.00</u>



**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2006**

	Share capital	Revaluation surplus	Revenue reserve		Proposed Dividend	Equity attributable to equity holders	Minority interest	Total
	Sh'000	Sh'000	Biological assets gains/losses	Other	Sh'000	Sh'000	Sh'000	Sh'000
At 1 April 2004	43,782	230,768	638,523	1,333,743	32,836	2,279,652	80,304	2,359,956
Surplus realised on disposal of revalued assets	-	(1,583)	-	1,583	-	-	-	-
Excess depreciation transfer - prior years	-	(35,335)	-	35,335	-	-	-	-
- current year	-	(19,667)	-	19,667	-	-	-	-
Deferred tax on excess depreciation	-	5,900	-	(5,900)	-	-	-	-
Net profit for the year	-	-	(22,825)	111,056	-	88,231	8,341	96,572
Dividends paid - 2004	-	-	-	-	(32,836)	(32,836)	(1,350)	(34,186)
Proposed dividend - 2005	-	-	-	(43,782)	43,782	-	-	-
At 31 March 2005	43,782	180,083	615,698	1,451,702	43,782	2,335,047	87,295	2,422,342
At 1 April 2005	43,782	180,083	615,698	1,451,702	43,782	2,335,047	87,295	2,422,342
Surplus realised on disposal of revalued assets	-	(620)	-	620	-	-	-	-
Excess depreciation transfer	-	(20,754)	-	20,754	-	-	-	-
Deferred tax on excess depreciation	-	5,287	-	(5,287)	-	-	-	-
Net loss for the year	-	-	(53,155)	(1,893)	-	(55,048)	(3,227)	(58,275)
Dividends paid - 2005	-	-	-	-	(43,782)	(43,782)	(2,025)	(45,807)
At 31 March 2006	43,782	163,996	562,543	1,465,896	-	2,236,217	82,043	2,318,260

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

**COMPANY BALANCE SHEET
AS AT 31 MARCH 2006**

	Note	2006 Sh'000	2005 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	10	350,008	365,907
Prepaid operating leases	11	11,851	11,864
Investment properties	12	355,000	308,148
Investment in associated companies	13	79,837	79,837
Investment in subsidiaries	14	109,877	109,877
Other investments	15	546	530
Biological assets	16	555,236	627,649
		<u>1,462,355</u>	<u>1,503,812</u>
Current assets			
Inventories	17	36,538	73,741
Trade and other receivables	18	109,224	136,652
Due from associated companies	19	19,652	5,363
Due from subsidiary companies	20	32,241	25,376
Loans to subsidiaries	21	14,612	24,777
Tax recoverable		1,640	-
Investments in unit trusts	22	-	15,000
Short term deposits	23	25,000	51,000
Cash and bank balances		80,107	56,810
		<u>319,014</u>	<u>388,719</u>
Total assets		<u><u>1,781,369</u></u>	<u><u>1,892,531</u></u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		98,490	106,203
Revenue reserve		1,177,171	1,187,100
Proposed dividend (gross)		-	43,782
Shareholders' funds		<u>1,319,443</u>	<u>1,380,867</u>
Non current liabilities			
Deferred income taxes	27	251,341	272,523
Service gratuity	28	67,077	67,608
Borrowings	29	-	12,560
		<u>318,418</u>	<u>352,691</u>
Current liabilities			
Trade and other payables	30	53,931	60,093
Due to subsidiary companies	20	66,412	66,132
Due to associated companies	19	-	23
Taxation payable		8,691	15,707
Borrowings	29	12,281	14,652
Unclaimed dividends		2,193	2,366
		<u>143,508</u>	<u>158,973</u>
Total equity and liabilities		<u><u>1,781,369</u></u>	<u><u>1,892,531</u></u>

The financial statements on pages 13 to 43 were approved by the board of directors on 25th May 2006 and were signed on its behalf by:

S.C.A. KOECH
D.B. WHITE

} Directors

**CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 31 MARCH 2006**

	Note	2006 Sh'000	2005 Sh'000
OPERATING ACTIVITIES			
Cash generated from operations	32(a)	133,054	188,967
Interest received		5,447	1,809
Interest paid		(4,198)	(4,743)
Taxation paid		(37,384)	(38,305)
Net cash generated from operating activities		<u>96,919</u>	<u>147,728</u>
INVESTING ACTIVITIES			
Movement in actual costs of biological assets		(11,572)	(8,853)
Purchase of plant and equipment		(55,030)	(84,274)
Additions to other investments		(40)	-
Proceeds from disposal of plant and equipment		6,717	(1,290)
Dividend received - from associated company		7,737	4,301
- other		1,500	5,804
Proceeds from redemption of investment in unit trusts		15,000	3,023
Net cash used in investing activities		<u>(35,688)</u>	<u>(61,092)</u>
FINANCING ACTIVITIES			
Loans received	32(b)	-	4,875
Loans repaid	32(b)	(27,743)	(23,182)
Finance lease repayments		(142)	(718)
Dividends paid to shareholders		(43,955)	(32,590)
Dividends paid to minority interest	26	(2,025)	(1,350)
Net cash used in financing activities		<u>(73,865)</u>	<u>(52,965)</u>
(DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		(12,634)	33,671
CASH AND CASH EQUIVALENTS AT 1 APRIL		135,008	101,337
CASH AND CASH EQUIVALENTS AT 31 MARCH	32(c)	<u>122,374</u> =====	<u>135,008</u> =====



COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2006

	Share Capital Sh'000	Revaluation surplus Sh'000	Biological assets Sh'000	Revenue reserve Other Sh'000	Total Sh'000	Proposed dividend Sh'000	Total Sh'000
At 1 April 2004	43,782	115,329	303,462	840,355	1,143,817	32,836	1,335,764
Surplus realised on disposal of revalued assets	-	(1,153)	-	1,153	1,153	-	-
Excess depreciation transfer	-	(11,390)	-	11,390	11,390	-	-
Deferred tax on excess depreciation	-	3,417	-	(3,417)	(3,417)	-	-
Net profit for the year	-	-	(15,069)	93,008	77,939	-	77,939
Dividends paid - 2004	-	-	-	-	-	(32,836)	(32,836)
Proposed dividend - 2005	-	-	-	(43,782)	(43,782)	43,782	-
At 31 March 2005	43,782	106,203	288,393	898,707	1,187,100	43,782	1,380,867
At 1 April 2005	43,782	106,203	288,393	898,707	1,187,100	43,782	1,380,867
Surplus realised on disposal of revalued assets	-	(217)	-	217	217	-	-
Deferred tax on disposal of revalued assets	-	65	-	(65)	(65)	-	-
Excess depreciation transfer:	-	(10,802)	-	10,802	10,802	-	-
Deferred tax on excess depreciation	-	3,241	-	(3,241)	(3,241)	-	-
Net profit for the year	-	-	(50,342)	32,700	(17,642)	-	(17,642)
Dividend paid - 2005	-	-	-	-	-	(43,782)	(43,782)
At 31 March 2006	43,782	98,490	238,051	939,120	1,117,171	-	1,319,443

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)**1 ACCOUNTING POLICIES (Continued)**

In the company's books, investments in associated companies are carried at cost less provision for impairment, if any.

Revenue recognition

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Rental income is recognised on the accruals basis and dividend income is recognised when received.

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Inventories

Made tea inventories are stated at the lower of cost and net realisable value. Made tea cost comprises fair value of tea leaf less estimated point of sale costs at the point of harvest plus actual costs incurred in the processing of green leaf to made tea. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Generator stocks are stated at the lower of purchase cost and net realisable value.

Consumable stores inventories are stated at weighted average cost.

Biological assets

Biological assets (tea bushes, fuel plantations and timber plantations) and agricultural produce have been stated at their fair value less estimated point-of-sale costs.

The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market. Details of the significant assumptions made in determining the fair value of biological assets are set out on note 16.

The cost of replanting, infilling and upkeep are recognised as an expense in the income statement.

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses.

Professional valuations are carried out in accordance with the company's policy of revaluing certain items of property, plant and equipment from time to time. The last valuation was performed as at 31 March 2002.

The bases of valuation are as follows:

Land - open market value for the existing use
Other assets - net current replacement cost.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the income statement.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2006

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year and are as stated below:

Adoption of new and revised international financial reporting standards.

In 2005 several new and revised standards became effective for the first time and have been adopted by the company where relevant to its operations. The adoption of these new and revised standards had no effect on the amounts reported for the current or prior years. This only resulted in changes in presentation and disclosure:

* IAS 1 requires:

- minority interest to be shown as part of equity,
- management judgements and key sources of estimation and uncertainty at the balance sheet date be disclosed in the financial statements.

* IAS 10 affected the presentation of proposed dividends

* IAS 16 required the disclosure of comparative figures for movements in property and equipment

* IAS 24 requires the disclosure of the compensation of key management personnel

At the date of authorisation of these financial statements IFRS 6 on Exploration for and Evaluation of Mineral Assets and IFRS 7 on Financial Instruments Disclosures were in issue but not yet effective. The adoption of these Standards, when effective, will have no material impact on the financial statements of the Group.

Basis of preparation

The consolidated financial statements are prepared under the historical cost convention as modified by the revaluation of certain assets.

Consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company transactions balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The group financial statements reflect the result of the consolidation of the financial statements of the company and its subsidiaries, details of which are disclosed in note 14 and include the group's share of the results of the associated companies as disclosed in note 13, all made up to 31 March.

Minority interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity therein. Minority interests consist of the amount of those interests at the date of the original business combination and the minority's share of changes in equity since the date of the combination. Losses applicable to the minority in excess of the minority's interest in the subsidiary's equity are allocated against the interests of the Group except to the extent that the minority has a binding obligation and is able to make an additional investment to cover the losses.

Investments in associated companies

Investments in associated undertakings are accounted for using the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights and over which the group exercises significant influence but which it does not control.

Equity accounting involves recognising in the income statement the group's share of the results of the associates for the year. The group's interest in the associates is carried in the balance sheet at an amount that reflects its share of the net assets of the associates. A listing of the group's associated undertakings is shown in note 13.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Retirement benefit obligations

The group operates a defined contribution scheme for eligible non-unionisable employees. The scheme is administered by the company and is funded by contributions from both the company and employees. The group's contributions to the defined contribution plan are charged to the income statement in the year to which they relate.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee. The group's contributions are charged to the income statement in the year to which they relate.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the Group at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the balance sheet as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Financial instruments

Financial assets and financial liabilities are recognised on the Group's balance sheet when the Group becomes a party to the contractual provisions of the instrument.

Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts.

Trade payables

Trade payables are stated at their nominal value.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Depreciation

No depreciation is provided on freehold land. Capital work in progress is not depreciated until the asset is brought into use.

Other items of property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives. The annual rates generally in use are as follows:

Buildings	5%
Dams	2.5%
Machinery and equipment	10%
Motor vehicles	25%
Office equipment, furniture and fittings	10%
Computers	25%

Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Investment properties

Investment properties are treated as long term investments and carried at market value for existing use as determined regularly by external independent valuers. Investment properties are not subject to depreciation. Changes in their carrying amounts are dealt with in the income statement.

On disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the income statement.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the balance sheet date.

The group's unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service are entitled to twenty one days pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements at present value of benefits payable as it accrues to each employee.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Dividends

Dividend income from investments is recognised when the shareholders' rights to receive payment have been established. Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued for until ratified in an annual general meeting.

Segmental reporting

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Critical judgments in applying the entity's accounting policies

In the process of applying the entity's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial period. Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

Critical accounting estimates and assumptions

Biological assets

In determining the fair value of biological assets, the group uses the present value of expected cashflows from the asset discounted at the current market determined pre tax rate. The objective of a calculation of the present value of expected net cash flows is to determine the fair value of a biological asset in its present location and condition. The group considers this in determining an appropriate discount rate to be used and in estimating expected net cash flows. Management uses estimates based on historical data relating to yields, prices of made tea and exchange rates. The methodology and assumptions used for estimating both the amount and timing of future cashflows are reviewed to reduce any differences between estimates and actual experience. The significant assumptions are set out in note 16.

Property, plant and equipment

Critical estimates are made by the directors in determining depreciation rates for property plant and equipment.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

The group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are also categorised as held for trading.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans, advances and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement.

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and demand deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
4 STAFF COSTS		
Wages and salaries	271,700	305,693
Social security costs (NSSF)	7,001	10,580
Pension costs (defined contribution plan)	4,541	5,522
Service gratuity and other terminal benefits	15,932	27,978
Leave pay provision	19,400	7,839
Medical expenses	6,533	7,937
	<u>325,107</u>	<u>365,549</u>
	=====	=====
The average number of staff employed by the group during the year was as follows:	Number	Number
Permanent	2,684	3,908
Seasonal	183	805
	<u>2,867</u>	<u>4,713</u>
	=====	=====
5 NET FINANCE COSTS		
Interest expense:		
- bank overdrafts	(1,344)	(216)
- bank loans	(2,046)	(3,540)
- group loans	(392)	(724)
- finance leases	(416)	(263)
	<u>(4,198)</u>	<u>(4,743)</u>
Interest income on short term deposits	5,447	1,905
Dividend income	1,500	3,023
Net foreign exchange losses	(15,785)	(3,308)
	<u>(13,036)</u>	<u>(3,123)</u>
	=====	=====
6 TAXATION		
(a) TAX CHARGE		
Current taxation based on the adjusted loss/profit at 30%		
- Current year	8,585	52,994
- Prior year underprovision	-	405
	<u>8,585</u>	<u>53,399</u>
Deferred tax credit-note 27	(35,560)	(14,643)
	<u>(26,975)</u>	<u>38,756</u>
	=====	=====
Share of associated company's taxation: Current taxation	-	5,887
Deferred tax credit	(1,416)	(1,461)
	<u>(1,416)</u>	<u>4,426</u>
	<u>(28,391)</u>	<u>43,182</u>
	=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2. SEGMENTAL INFORMATION

(a) Primary reporting format - Business segments

	Tea Sh'000	Property Sh'000	Generator trading Sh'000	Group Sh'000
2006				
Revenue	985,059	31,337	71,839	1,088,235
Other incomes	13,910	46,852	553	61,315
Operating (loss)/profit	(143,210)	68,220	7,367	(67,623)
Group's share of associated companies' results	(3,873)	(718)	-	(4,591)
Segment assets	2,744,992	355,000	55,386	3,155,378
Segment liabilities	820,619	-	16,499	837,118
Depreciation	65,514	-	1,719	67,233
Capital expenditure	53,151	-	1,879	55,030
	=====	=====	=====	=====
	Tea Sh'000	Property Sh'000	Generator trading Sh'000	Group Sh'000
2005				
Revenue	1,198,588	30,595	61,327	1,290,210
Other incomes	18,266	4,875	-	23,141
Operating profit	95,642	25,836	7,449	128,927
Group's share of associated companies' results	10,321	(797)	-	9,524
Segment assets	2,980,223	308,148	43,583	3,331,954
Segment liabilities	987,231	-	9,676	996,907
Depreciation	68,541	-	1,758	70,299
Capital expenditure	83,312	-	962	84,274
	=====	=====	=====	=====
			2006 Sh'000	2005 Sh'000

(b) Secondary reporting - geographical segments

The group's tea revenue is derived from the following markets:

Offshore	807,567	1,012,258
Kenya	177,492	186,330
	985,059	1,198,588
	=====	=====

3. OPERATING (LOSS)/PROFIT

The operating (loss)/profit is arrived at after charging:

Amortisation	51	50
Depreciation	67,233	70,299
Directors' remuneration:		
Fees	750	750
Other emoluments	10,094	13,067
Staff costs (Note 4)	325,107	365,549
Auditors' remuneration	4,606	3,483
Loss on disposal of property, plant and equipment and after crediting:	-	650
	=====	=====
Operating lease rental income	31,337	30,295
Fair value of agricultural produce harvested during the year	172,382	228,176
Profit on disposal of property plant and equipment	3,824	-
Gain on valuation of investment property	46,852	4,875
	=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
(b) RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING (LOSS)/PROFIT TO TAX EXPENSE		
Accounting (loss)/before taxation	(86,666)	139,754
	=====	=====
Tax at the applicable rate of 30%	(26,100)	41,926
Tax effect of expenses not deductible for tax purposes	8,369	8,454
Tax effect of income not taxable	(10,660)	(7,603)
Prior year underprovision	-	405
	(28,391)	43,182
	=====	=====
(c) TAX MOVEMENT		
At beginning of the year:		
Payable	22,252	8,763
Recoverable	(719)	(2,324)
	21,533	6,439
Taxation charge	8,585	53,399
Taxation paid	(37,384)	(38,305)
	(7,266)	21,533
	=====	=====
Comprising:		
Payable	8,691	22,252
Recoverable	(15,957)	(719)
	(7,266)	21,533
	=====	=====
7 PROFIT AFTER TAXATION - COMPANY		

A loss after taxation of Sh 17,642,000 (2005 - profit of Sh 77,939,000) has been dealt with in the financial statements of Williamson Tea Kenya Limited.

8 EARNINGS PER SHARE

Earnings per share is calculated by dividing the profit attributable to shareholders the number of ordinary shares in issue during the year.

	2006 Sh'000	2005 Sh'000
Earnings		
(Loss) / earnings for purposes of basic and diluted earnings per share	(55,048)	88,231
	=====	=====
Number of shares		
Number of ordinary shares (thousands)	8,756	8,756
	=====	=====
(Loss)/earnings per share		
Basic (Sh) and diluted (Sh)	(6.29)	10.08
	=====	=====

There were no potentially dilutive shares outstanding at 31 March 2006 or 31 March 2005.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9 PROPOSED DIVIDEND

Proposed dividends are not accounted for until they have been ratified at the Annual General Meeting. At the meeting to be held on 20 July 2006, a first and final dividend is to be proposed in respect of 2006 of Sh 0.50 per share (2005 - Sh 5 per share) amounting to a total of Sh 4,378,200 (2005 - Sh 43,782,000). The financial statements for the year ended 31 March 2006 do not reflect this resolution which will be accounted for in shareholders' equity as an appropriation of retained profits in the year ended 31 March 2007.

10 PROPERTY, PLANT AND EQUIPMENT

GROUP

	Freehold land, buildings and development Sh'000	Machinery and equipment Sh'000	Tractors & Accessories Sh'000	Motor vehicles Sh'000	Office equipment, furniture & fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
COST OR VALUATION								
At 1 April 2004	506,132	271,324	76,228	46,886	24,971	19,754	484	945,779
Additions	20,671	29,370	16,505	9,584	999	1,895	5,250	84,274
Disposals	-	(3,911)	(9,242)	(7,918)	(6,064)	(2,513)	-	(29,648)
Reclassification	484	-	-	-	-	-	(484)	-
At 31 March 2005	527,287	296,783	83,491	48,552	19,906	19,136	5,250	1,000,405
Comprising:								
At Valuation 2002	503,779	258,655	-	-	-	-	-	762,434
At Cost	23,508	38,128	83,491	48,552	19,906	19,136	5,250	237,971
	527,287	296,783	83,491	48,552	19,906	19,136	5,250	1,000,405
At 1 April 2005	527,287	296,783	83,491	48,552	19,906	19,136	5,250	1,000,405
Additions	13,384	22,386	2,269	4,687	532	2,541	9,231	55,030
Disposals	(850)	(2,320)	(4,113)	(6,096)	(786)	(503)	-	(14,668)
Transferred to biological assets	-	-	-	-	-	-	(5,250)	(5,250)
At 31 March 2006	539,821	316,849	81,647	47,143	19,652	21,174	9,231	1,035,517
Comprising:								
At Valuation 2002	503,779	258,655	-	-	-	-	-	762,434
At Cost	36,042	58,194	81,647	47,143	19,652	21,174	9,231	273,083
	539,821	316,849	81,647	47,143	19,652	21,174	9,231	1,035,517

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT

GROUP

	Freehold land and buildings Sh'000	Machinery and equipment Sh'000	Tractors & Accessories Sh'000	Motor vehicles Sh'000	Office equipment, furniture & fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
DEPRECIATION								
At 1 April 2004	64,091	54,502	60,628	33,088	15,452	12,827	-	240,588
Charge for the year	29,112	20,585	8,302	7,977	1,345	2,978	-	70,299
Eliminated on disposal	-	(1,684)	(9,125)	(7,778)	(3,974)	(2,136)	-	(24,697)
At 31 March 2005	93,203	73,403	59,805	33,287	12,823	13,669	-	286,190
At 1 April 2005	93,203	73,403	59,805	33,287	12,823	13,669	-	286,190
Charge for the year	28,058	21,400	5,923	7,625	1,283	2,944	-	67,233
Eliminated on disposal	(305)	(2,084)	(4,099)	(4,581)	(322)	(384)	-	(11,775)
At 31 March 2006	120,956	92,719	61,629	36,331	13,784	16,229	-	341,648
NET BOOK VALUE								
At 31 March 2006	418,865	224,130	20,018	10,812	5,868	4,945	9,231	693,869
At 31 March 2005	434,084	223,380	23,686	15,265	7,083	5,467	5,250	714,215
NET BOOK VALUE (Cost basis)								
At 31 March 2006	215,785	177,077	20,016	12,369	5,714	4,945	9,231	445,137
At 31 March 2005	217,571	165,470	23,685	16,823	6,928	5,465	5,250	441,192

Land, building and machinery were last revalued as at 31 March 2002 by Lloyd Masika Limited, registered valuers and estate agents.

Included in property, plant and equipment are assets with an original cost of Sh 94,722,000 (2005 - Sh 83,440,000) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 22,563,000 (2005 - Sh 20,639,000).

Land and buildings with net book value of Sh 418,865,000 (2005 - Sh 434,084,000) have been charged to secure banking facilities granted to the group as disclosed in note 29.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY	Freehold land, buildings and development Sh'000	Machinery and equipment Sh'000	Tractors & Accessories Sh'000	Motor vehicles Sh'000	Office equipment, furniture & fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
COST OR VALUATION								
At 1 April 2004	279,565	113,672	29,996	15,600	11,863	11,794	484	462,974
Additions	10,124	14,322	9,747	3,820	866	881	-	39,760
Disposals	-	(1,435)	(4,399)	(4,505)	(3,008)	(1,777)	-	(15,124)
Reclassification	484	-	-	-	-	-	(484)	-
At 31 March 2005	290,173	126,559	35,344	14,915	9,721	10,898	-	487,610
Comprising:								
At Valuation 2002	279,565	103,191	-	-	-	-	-	382,756
At Cost	10,608	23,368	35,344	14,915	9,721	10,898	-	104,854
	290,173	126,559	35,344	14,915	9,721	10,898	-	487,610
At 1 April 2005	290,173	126,559	35,344	14,915	9,721	10,898	-	487,610
Additions	5,076	6,740	1,289	754	110	714	1,179	15,862
Disposals	-	(905)	(1,447)	(2,000)	(786)	(503)	-	(5,641)
At 31 March 2006	295,249	132,394	35,186	13,669	9,045	11,109	1,179	497,831
Comprising:								
At Valuation 2002	279,565	103,191	-	-	-	-	-	382,756
At Cost	15,684	29,203	35,186	13,669	9,045	11,109	1,179	115,075
	295,249	132,394	35,186	13,669	9,045	11,109	1,179	497,831
DEPRECIATION								
At 1 April 2004	30,655	20,062	24,819	10,432	8,314	8,642	-	102,924
Charge for the year	15,258	8,170	3,402	3,249	517	1,363	-	31,959
Eliminated on disposal	-	(599)	(4,282)	(4,505)	(2,394)	(1,400)	-	(13,180)
At 31 March 2005	45,913	27,633	23,939	9,176	6,437	8,605	-	121,703
At 1 April 2005	45,913	27,633	23,939	9,76	6,437	8,605	-	121,703
Charge for the year	14,312	8,633	3,442	2,721	435	1,210	-	30,753
Eliminated on disposal	-	(905)	(1,447)	(1,575)	(322)	(384)	-	(4,633)
At 31 March 2006	60,225	35,361	25,934	10,322	6,550	9,431	-	147,823
NET BOOK VALUE								
At 31 March 2006	235,024	97,031	9,254	3,347	2,495	1,678	1,179	350,008
At 31 March 2005	244,260	98,926	11,405	5,739	3,284	2,293	-	365,907
NET BOOK VALUE (Cost basis)								
At 31 March 2006	124,810	73,612	9,254	3,347	2,495	1,678	1,179	216,375
At 31 March 2005	126,338	70,238	11,405	5,739	3,284	2,294	-	219,298

Land, buildings and machinery were revalued as at 31 March 2002 by Lloyd Masika Limited, registered valuers and estate agents.

Included in property, plant and equipment are assets with an original cost of Sh 44,461,000 (2005 - Sh 26,986,000) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 13,776,000 (2005 - Sh 9,050,000)

Land, buildings and development with net book value of Sh 235,024,000 (2005 - 244,260,000) have been charged to secure banking facilities granted to the company as disclosed in note 29.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PREPAID OPERATING LEASES

COST	GROUP Leasehold land Sh'000	COMPANY Leasehold land Sh'000
At 1 April 2005 and 31 March 2006	50,181	12,613
AMORTISATION		
As 1 April 2005	4,149	749
Amortisation for the year	51	13
At 31 March 2006	4,200	762
NET BOOK VALUE		
At 31 March 2006	45,981	11,851
At 31 March 2005	46,032	11,864
Market value	106,345	17,395

Leasehold land has been charged to secure banking facilities granted to the group as disclosed in note 29.

Leasehold land was revalued as at 31 March 2002 by Lloyd Masika Limited, registered valuers and estate agents.

	GROUP & COMPANY 2006 Sh'000	2005 Sh'000
12 INVESTMENT PROPERTIES		
At fair value:		
At 1 April	308,148	303,273
Gain in market value	46,852	4,875
At 31 March	355,000	308,148
COST	182,233	182,233

The investment properties were revalued as at 31 March 2006 by Lloyd Masika Limited, Registered Valuers and Estate Agents.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
13 INVESTMENT IN ASSOCIATED COMPANIES		
GROUP		
Kapchorua Tea Company Limited (Quoted) - 39.56% owned: At share of net assets (market value - Sh 391,200,000 2005 - Sh 391,200,000)	259,003	270,615
Williamson Developments Limited (Unquoted) - 50% Share of net assets	19,499	20,215
	<u>278,502</u> =====	<u>290,830</u> =====
COMPANY		
Kapchorua Tea Company Limited (Quoted); 39.56% owned: At cost - (market value - Sh 391,200,000 2005 - Sh 391,200,000)	49,479	49,479
Williamson Developments Limited (Unquoted) - 50% owned at cost	30,358	30,358
	<u>79,837</u> =====	<u>79,837</u> =====
The movement in Group investment in associated companies is as follows:		
At 1 April	290,830	287,110
Share of (loss)/profit before taxation	(6,007)	13,950
Share of tax	1,416	(4,426)
Dividend received	(7,737)	(5,804)
At 31 March	<u>278,502</u> =====	<u>290,830</u> =====

The details of the above associated companies are as follows:

Company	Share capital Sh	% owned	Country of Incorporation	Principal activity
Kapchorua Tea Company Ltd	19,560,000	39.56%	Kenya	Cultivation, manufacture and sale of tea
Williamson Developments Ltd	3,600	50 %	Kenya	Property management

NOTES TO THE FINANCIAL STATEMENTS (Continued)

16 BIOLOGICAL ASSETS GROUP

	Tea bushes Sh '000	Timber Trees Sh '000	Fuel Trees Sh '000	Total 2006 Sh '000	Total 2005 Sh '000
Carrying amount at 1 April 2005	1,060,152	112,236	144,648 -	1,317,036	1,336,192
Expenditure on biological assets	10,095	412	1,312	11,819	11,592
Transfer from property, plant & equipment	5,250	-	-	5,250	-
Decrease due to harvest	-	-	(247)	(247)	(2,738)
	<u>1,075,497</u>	<u>112,648</u>	<u>145,713</u>	<u>1,333,858</u>	<u>1,345,046</u>
Gains/(loss) arising from changes in fair value attributable to physical changes	(63,636)	9,647	(23,551)	(77,540)	32,644
Gain/(loss) arising from changes in fair value attributable to price changes	(43,506)	37,451	5,883	(172)	(60,654)
Net fair value gain/(loss)	<u>(107,142)</u>	<u>47,098</u>	<u>(17,668)</u>	<u>(77,712)</u>	<u>(28,010)</u>
Carrying amount at 31 March 2006	<u>968,355</u>	<u>159,746</u>	<u>128,045</u>	<u>1,256,146</u>	<u>1,317,036</u>

COMPANY

Carrying amounts					
At 1 April 2005	512,167	30,437	85,045	627,649	648,882
Expenditure on biological assets	747	156	-	903	294
Decrease due to harvest	-	-	(1,398)	(1,398)	-
	<u>512,914</u>	<u>30,593</u>	<u>83,647</u>	<u>627,154</u>	<u>649,176</u>
(Losses)/gains arising from changes in fair value attributable to physical changes	(6,160)	11,610	(16,283)	(10,833)	15,620
Gain arising from changes in fair value attributable to price changes	(70,754)	9,669	-	(61,085)	(37,147)
Net fair value (loss)/gain	<u>(76,914)</u>	<u>21,279</u>	<u>(16,283)</u>	<u>(71,918)</u>	<u>(21,527)</u>
Carrying amount at 31 March 2006	<u>436,000</u>	<u>51,872</u>	<u>67,364</u>	<u>555,236</u>	<u>627,649</u>

Significant assumptions made in determining the fair values of biological assets are:

- Tea bushes are considered to be productive for an estimated period of 30 years.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- A discount rate of 14.8% per annum is applied to discount the expected net cash flows arising from the asset.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
14 INVESTMENT IN SUBSIDIARIES		
(a) Unquoted investments at cost in wholly owned subsidiaries:		
Kaimosi Tea Estates Limited	2,863	2,863
Williamson Power Limited	3,689	3,689
Tea Manufacturing and Supplies Limited	-	-
Tea Properties Limited	2	2
Lelsa Tea Estates Limited	-	-
	<u>6,554</u>	<u>6,554</u>
(b) Unquoted investment at cost in Partly owned subsidiaries		
Tinderet Tea Estates (1989) Limited (82% owned)	103,323	103,323
	<u>109,877</u>	<u>109,877</u>
	=====	=====

The details of the above subsidiary companies are as follows:

Company	Share capital Sh	Country of Incorporation	Principal activity
Kaimosi Tea Estates Limited	2,540,000	Kenya	Cultivation, manufacture and sale of tea.
Williamson Power Limited	2,880,000	Kenya	Sale, installation and servicing of generators.
Tea Manufacturing and Supplies Limited	2,000,000	Kenya	Dormant company.
Tea Properties Limited	2,000	Kenya	Dormant company.
Lelsa Tea Estates Limited	4,000,000	Kenya	Dormant company.
Tinderet Tea Estates (1989) Limited	100,000	Kenya	Cultivation, manufacture and sale of tea.

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
15 OTHER INVESTMENTS				
Available for sale				
Unquoted:				
At cost				
- Trade	1,346	1,305	546	530
- Other	3	3	-	-
	<u>1,349</u>	<u>1,308</u>	<u>546</u>	<u>530</u>
Quoted:				
At market value	-	1	-	-
	<u>1,349</u>	<u>1,309</u>	<u>546</u>	<u>530</u>
	=====	=====	=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
17 INVENTORIES				
Tea stocks	54,141	134,351	23,201	55,473
Firewood	4,969	3,138	1,409	810
Stores	39,879	44,570	11,928	17,458
Generators	802	802	-	-
Work in progress	-	317	-	-
Goods in transit	420	-	-	-
Other	105	-	-	-
	<u>100,316</u>	<u>183,178</u>	<u>36,538</u>	<u>73,741</u>
	=====	=====	=====	=====
18 TRADE AND OTHER RECEIVABLES				
Trade	128,589	238,684	28,153	94,033
Staff	25,553	30,231	17,538	18,693
VAT receivable	16,036	28,202	18,927	12,915
Loans to directors	2,222	2,331	2,222	2,332
Other	61,710	15,212	42,384	8,679
	<u>234,110</u>	<u>314,660</u>	<u>109,224</u>	<u>136,652</u>
	=====	=====	=====	=====
The loans to directors are interest free.				
19 DUE FROM ASSOCIATED COMPANIES				
Kapchorua Tea Company Limited	17,526	5,819	15,370	5,363
Williamson Development Limited	7,569	-	4,282	-
	<u>25,095</u>	<u>5,819</u>	<u>19,652</u>	<u>5,363</u>
	=====	=====	=====	=====
DUE TO ASSOCIATED COMPANIES				
Williamson Developments Limited	-	23	-	23
Kapchorua Tea Company Limited	584	-	-	-
	<u>584</u>	<u>23</u>	<u>-</u>	<u>23</u>
	=====	=====	=====	=====
20 DUE FROM SUBSIDIARY COMPANIES				
Kaimosi Tea Estates Limited			16,083	12,195
Williamson Power Limited			1,576	376
Tinderet Tea Estates (1989) Limited			14,582	12,805
			<u>32,241</u>	<u>25,376</u>
			=====	=====
DUE FROM SUBSIDIARY COMPANIES				
Tea Properties Limited			66,132	66,132
Williamson Power Limited			280	-
			<u>66,412</u>	<u>66,132</u>
			=====	=====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
21 LOANS TO SUBSIDIARY COMPANIES		
Kaimosi Tea Estate Limited	9,612	14,777
Tinderet Tea Estates (1989) Limited	5,000	10,000
	<u>14,612</u>	<u>24,777</u>
	=====	=====

The loans to subsidiary companies are unsecured and mature within one year. The effective interest rate on the loans as at 31 March 2006 was 6.92% (2005 - 6.75%).

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
22 INVESTMENTS IN UNIT TRUSTS				
Old Mutual Investment Services Limited	-	15,000	-	15,000
	=====	=====	=====	=====

The investments in unit trusts are redeemable on demand and are carried at amortised cost. The effective rate of return as at 31 March 2005 was 6.75%

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
23 SHORT TERM DEPOSITS				
NIC Bank Limited	25,000	45,000	25,000	45,000
Bank of Africa Limited	-	6,000	-	6,000
	<u>25,000</u>	<u>51,000</u>	<u>25,000</u>	<u>51,000</u>
	=====	=====	=====	=====

The effective interest rate on short term deposits as at 31 March 2006 was 8% (2005 - 8%) and they mature within 90 days of the balance sheet date.

24 RELATED PARTIES

The group transacts with the ultimate holding company and other companies related to it by virtue of common shareholding. These transactions were at arm's length and in the normal course of business.

During the year, the following transactions were entered into with related parties:

	2006 Sh'000	2005 Sh'000
Sales through a related party (Williamson Tea Holdings plc - parent)	475,275	572,404
Technical support (Williamson Tea Holdings plc - parent)	13,633	15,065
Agency commission and charges received (Kapchorua Tea Company Limited - associate)	17,908	24,759
Licence fees (George Williamson & Company Limited)	13,633	15,065
Guarantee in respect of banking facilities (Subati Limited - common ownership)	57,498	64,594
	=====	=====

Loan from parent company

The group received a loan of GBP 200,000 during the financial year ended 31 March 2003 for purchase of factory machinery from Williamson Tea Holdings Plc, the ultimate holding company. The loan is repayable in twelve quarterly instalments with a one year moratorium granted on both principal and interest. The interest rate on the loan is 5.66%. The balance outstanding on the shareholder loan at 31 March 2006 is disclosed in note 29.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2006 Sh'000	2005 Sh'000
Compensation of key management personnel		
The remuneration of directors and other members of key management during the period was as follows:		
Salaries and other benefits	52,353 =====	63,702 =====
Fees for services as directors	750	750
Other emoluments (included in key management compensation above)	52,353	63,702
	53,103 =====	64,452 =====
25 SHARE CAPITAL		
Authorised:		
17,512,640 shares of Sh 5 each	87,563 =====	87,563 =====
Issued and fully paid:		
8,756,320 shares of Sh 5 each	43,782 =====	43,782 =====
26 MINORITY INTEREST		
As 1 April	87,295	80,304
Share of (loss)/profit	(3,227)	8,341
Dividend paid	(2,025)	(1,350)
At 31 March	82,043 =====	87,295 =====
Represented by:		
% holding in Tinderet	18 =====	18 =====
27 DEFERRED INCOME TAXES		

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
The net deferred taxation liability is attributable to the following items:				
Deferred tax liabilities:				
Accelerated capital allowances	198,706	192,159	95,138	93,384
Revaluation of investment property	51,830	37,775	51,830	37,775
Revaluation surplus	84,736	92,940	35,143	39,906
Fair value adjustments - biological assets	242,620	265,934	102,022	127,298
Fair value adjustments - inventories	430	-	1,550	-
	578,322 =====	588,808 =====	285,683 =====	298,363 =====

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 DEFERRED INCOME TAXES (continued)

	GROUP		COMPANY	
	2006	2005	2006	2005
	Sh'000	Sh'000	Sh'000	Sh'000
Deferred tax assets:				
Unrealised exchange gains	(463)	(793)	(52)	(230)
Service gratuity provision	(34,185)	(35,477)	(20,123)	(20,282)
Leave pay provision	(3,141)	(4,113)	(1,902)	(2,606)
Stock general provision	(436)	-	(354)	-
Tax losses	(27,232)	-	(11,911)	-
Fair value adjustments - inventories	-	-	-	(2,722)
	<u>(65,457)</u>	<u>(40,383)</u>	<u>(34,342)</u>	<u>(25,840)</u>
Net deferred tax liability	<u>512,865</u>	<u>548,425</u>	<u>251,341</u>	<u>272,523</u>

The movement on the deferred tax account is as follows:

At 1 April	548,425	563,068	272,523	281,070
Income statement tax credit (note 6a)	(35,560)	(14,643)	(21,182)	(8,547)
At 31 March	<u>512,865</u>	<u>548,425</u>	<u>251,341</u>	<u>272,523</u>

	GROUP		COMPANY	
	2006	2005	2006	2005
	Sh'000	Sh'000	Sh'000	Sh'000
28 SERVICE GRATUITY				
At 1 April	118,261	90,327	67,608	51,398
Provision during the year	8,394	35,876	4,786	21,328
Payments in the year	(12,706)	(7,942)	(5,317)	(5,118)
At 31 March	<u>113,949</u>	<u>118,261</u>	<u>67,077</u>	<u>67,608</u>

29 BORROWINGS

a) Loans

Bank overdraft	26,679	-	6,011	-
Bank loans	11,498	30,075	-	13,112
Shareholder loan	6,270	14,100	6,270	14,100
	<u>44,447</u>	<u>44,175</u>	<u>12,281</u>	<u>27,212</u>

The borrowings are repayable as follows:

On demand and within one year	44,447	25,065	12,281	14,652
In the second year	-	19,110	-	12,560
	<u>44,447</u>	<u>44,175</u>	<u>12,281</u>	<u>27,212</u>
Amounts due for settlement within one year	(44,447)	(25,065)	(12,281)	(14,652)
Amounts due for settlement after one year	-	19,110	-	12,560

NOTES TO THE FINANCIAL STATEMENTS (Continued)

29 BORROWINGS (Continued)
Analysis of borrowings by currency

Group	Borrowings In KES Sh'000	Borrowings in USD Sh'000	Borrowings in GBP Sh'000	Total Sh'000
2006				
Bank overdrafts	15,401	11,278	-	26,679
Bank loans	-	11,498	-	11,498
Shareholder loan	-	-	6,270	6,270
	<u>15,401</u>	<u>22,776</u>	<u>6,270</u>	<u>44,447</u>
	=====	=====	=====	=====
2005				
Bank loans	-	30,075	-	30,075
Shareholder loan	-	-	14,100	14,100
	<u>-</u>	<u>30,075</u>	<u>14,100</u>	<u>44,175</u>
	=====	=====	=====	=====
Company	Borrowings	Borrowings	Borrowings	Total
	In KES	in USD	in GBP	
	Sh'000	Sh'000	Sh'000	Sh'000
2006				
Bank loans	-	6,011	-	6,011
Shareholder loan	-	-	6,270	6,270
	<u>-</u>	<u>6,011</u>	<u>6,270</u>	<u>12,281</u>
	=====	=====	=====	=====
2005				
Bank loans	-	13,112	-	13,112
Shareholder loan	-	-	14,100	14,100
	<u>-</u>	<u>13,112</u>	<u>14,100</u>	<u>27,212</u>
	=====	=====	=====	=====

b) Interest rates

	2006	2005
The average interest rates paid by the group were as follows:		
Bank loans	8.76	8.00
Share holder loan - GBP	5.66	5.88
Bank overdraft - KSh	13.75	12.75
Bank overdraft - US\$	7.50	8.00
	=====	=====

c) Details of securities for loans and bank overdrafts

The loan facilities with Barclays Bank of Kenya Limited are secured by:

GROUP

1. Joint and several debenture between Kaimosi Tea Estates Limited, Williamson Tea Kenya Limited, Tea Properties Limited, Changoi and Lelsa to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. Legal mortgage over LR Nos. 1892, 1893, 1894, 1895, 1896 and 1899 (Kaimosi Tea Estates) registered and stamped to cover Sh 104 million supplemental to the debenture.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

29 BORROWINGS (Continued)

3. A fixed and floating debenture over all the assets of Tinderet Tea Estates (1989) Limited for Sh 94,000,000 and a legal charge over the company's property in Tinderet (LR 11490) for Sh 94,000,000.

The bank overdraft facility with Standard Chartered Bank Kenya Limited is secured by an all assets debenture supported by a collateral legal charge over LR 11297 (Changoi Estate) Kericho of Sh 84 million.

COMPANY

1. Joint and several debenture between Kaimosi Tea Estates Limited, Williamson Tea Kenya Limited, Tea Properties Limited, Changoi and Lelsa to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. All assets debenture supported by a collateral charge over LR 11297 (Changoi Estate) Kericho to Standard Chartered Bank of Kenya Limited registered to cover Sh 84 million.

d) Undrawn facilities

The group had undrawn committed borrowing facilities amounting to Sh 127,821,000 (2005 - Sh 149,650,000). The borrowing facilities consist of loans, bank overdrafts, letters of credit and guarantees

30 TRADE AND OTHER PAYABLES

	GROUP		COMPANY	
	2006	2005	2006	2005
	Sh'000	Sh'000	Sh'000	Sh'000
Trade payables	30,094	31,319	6,625	16,613
Green leaf provision	56,158	60,125	11,918	15,688
Leave provision	10,470	13,710	6,340	8,687
Other payables	57,667	68,814	29,048	19,105
	<u>154,389</u>	<u>173,968</u>	<u>53,931</u>	<u>60,093</u>
	=====	=====	=====	=====

31 FINANCE LEASE OBLIGATIONS - GROUP

	Minimum lease payments (including finance charges)		Present value of minimum lease payments (excluding finance charges)	
	2006	2005	2006	2005
	Sh'000	Sh'000	Sh'000	Sh'000
Within one year	-	191	-	142
In second year	-	-	-	-
In the third to fifth year inclusive	-	-	-	-
	<u>-</u>	<u>191</u>	<u>-</u>	<u>142</u>
Less: Future finance charges	-	(49)	-	-
	<u>-</u>	<u>142</u>	<u>-</u>	<u>142</u>
	=====	=====	=====	=====
Amounts due for settlement within one year				(142)
Amounts due for settlement after one year				-
			=====	=====

The average lease period is 3 years. The average interest rates paid was 11.6 %

The finance leases are secured by motor vehicles which are the subject of the finance leases.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

32 NOTES TO THE CASH FLOW STATEMENT

	2006 Sh'000	2005 Sh'000
(a) Reconciliation of operating (loss)/profit to cash generated from operations		
Operating (loss)/profit	(67,623)	128,927
Adjustments for:		
Depreciation	67,233	70,299
Amortisation	51	50
(Profit)/loss on disposal of plant and equipment	(3,824)	650
Exchange differences	(14,449)	(3,692)
Fair value adjustment on biological assets	77,712	28,010
Fair value gain on investment property	(46,852)	(4,875)
Operating profit before working capital changes	12,248	219,369
Decrease/(increase) in inventories	82,862	(11,706)
Decrease/(increase) in trade and other receivables	80,550	(68,687)
(Decrease)/increase in trade and other payables	(19,579)	24,668
Movement in associated company balances	(18,715)	(2,611)
(Decrease)/increase in service gratuity	(4,312)	27,934
Cash generated from operations	133,054	188,967
	=====	=====
(b) Analysis of changes in loans		
At 1 April	44,175	62,961
Loans received	-	4,875
Loans repaid	(27,743)	(23,182)
Exchange loss/(gain)	1,336	(479)
At 31 March	17,768	44,175
	=====	=====
(c) Analysis of cash and cash equivalents		
Short term deposits	25,000	51,000
Cash and bank balances	124,053	84,008
Bank overdrafts	(26,679)	-
At 31 March	122,374	135,008
	=====	=====

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired; less advances from banks repayable within three months from the date of the advance.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
33 CAPITAL COMMITMENTS				
Authorised but not contracted for	62,426	101,049	31,871	33,515
Authorised and contracted for	31,473	5,000	25,491	-
	<u>93,899</u>	<u>106,049</u>	<u>57,362</u>	<u>33,515</u>
	=====	=====	=====	=====

The company intends to finance these commitments from internally generated funds and from the undrawn portion of bank facilities.

34 OPERATING LEASE COMMITMENTS

The group as a lessor

Property rental income earned during the year amounted to Sh 30,380,479 (2005 - Sh30,295,000). At the balance sheet date, the group had contracted with tenants for the following future lease receivables.

	2006 Sh'000	2005 Sh'000
Within one year	22,527	23,885
In the second to fifth years inclusive	69,371	51,229
	<u>91,898</u>	<u>75,114</u>
	=====	=====

Leases are negotiated for an average term of two years for residential properties and four years for non-residential properties, and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months notice to vacate the premises.

	GROUP		COMPANY	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
35 CONTINGENT LIABILITIES				
Guarantees in respect of banking facilities granted to related company, Subati Limited	57,498	64,594	57,498	64,594
Guarantees in respect of generator imports granted to related company, Williamson power	-	-	21,000	21,000
	<u>57,498</u>	<u>64,594</u>	<u>78,498</u>	<u>85,594</u>
	=====	=====	=====	=====

A suit has been filed against the company by a former employee for wrongful dismissal. No liability has been recognised in these financial statements as the directors believe the company has no liability.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

36 RISK MANAGEMENT POLICIES

The financial risk management objectives and policies are as outlined below:

Credit risk

The group's credit risk is primarily attributable to its trade receivables.

The amounts presented in the balance sheet are net of allowances for doubtful receivables, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The credit risk on trade receivables is limited because the group customers are companies with high credit ratings.

Price Risk

The group is exposed to financial risks arising from changes in tea prices. The group does not anticipate that tea prices will decline significantly in the foreseeable future and, therefore, has not entered into derivative or other contracts to manage the risk of a decline in tea prices. The group reviews its outlook for tea prices regularly in considering the need for active financial risk management.

Currency risk

The group is exposed to the risk that the value of the financial instruments will fluctuate due to changes in foreign exchange rates. The group manages this risk by borrowing in the same currency it trades in and maintaining bank accounts in the principal foreign currency from which payments are made.

37 COUNTRY OF INCORPORATION

All the companies in the group are incorporated and domiciled in Kenya under the Companies Act.

38 ULTIMATE HOLDING COMPANY

The ultimate holding company is Williamson Tea Holdings Plc, a company incorporated in the United Kingdom.

39 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).

FOUR YEAR COMPARATIVE STATEMENT

		2006	2005	2004	2003
Tea Production					
Area under tea	Hectare	2,082	2,073	2,047	2,015
Made tea - own	'000 Kgs	5,436	6,783	5,938	5,857
- Bought leaf	'000 Kgs	3,126	3,603	1,972	1,419
Total	'000 Kgs	8,562	10,386	7,910	7,276
Tea sold	'000 Kgs	9,285	10,244	7,246	7,396
Average price per Kg gross Sh/Ct		105/90	116/75	118/08	113/29
Turnover (Sh'000)		985,059	1,198,588	855,610	837,958
Profit (Sh'000)					
(Loss)/profit before taxation		(86,666)	139,754	123,870	94,884
Taxation		28,391	(43,182)	(41,105)	(29,632)
(Loss)/profit after taxation		(58,275)	96,572	82,765	65,252
Minority interest		3,227	(8,341)	(2,344)	(898)
Dividends		-	(43,782)	(32,836)	(32,836)
Retained (loss)/profit for the year		(55,048)	44,449	47,585	31,518
Capital employed (Sh'000)					
Property, plant & equipment		693,869	714,215	705,191	751,420
Investments and long term receivables		680,832	646,319	636,484	623,967
Current assets		524,531	654,384	560,769	503,137
Biological assets		1,256,146	1,317,036	1,336,192	1,325,642
Total assets		3,155,378	3,331,954	3,238,636	3,204,166
Financed by (Sh'000)					
Share capital		43,782	43,782	43,782	43,782
Reserves		2,192,435	2,291,265	2,235,870	2,188,285
Shareholders' funds		2,236,217	2,335,047	2,279,652	2,232,067
Minority interest		82,043	87,295	80,304	78,766
Medium term borrowings		44,447	19,110	45,195	58,565
Non current liabilities		113,949	118,261	90,327	83,597
Current liabilities		165,857	223,816	180,090	194,935
Deferred income taxes		512,865	548,425	563,068	556,236
		3,155,378	3,331,954	3,238,636	3,204,166
(Loss)/earnings per share	Cents	(629)	1,008	918	738
Dividend per share	%	10	100	75	75
Dividend per share	Cents	50	500	375	375
Dividend cover	Times	-	2.02	2.45	1.97
Exchange Rates	US \$	71.90	75.00	76.40	79.00
	UK £	125.40	141.00	142.07	120.90

PROXY FORM FOR ANNUAL GENERAL MEETING

THE SECRETARY,
WILLIAMSON TEA KENYA LTD,
1st FLOOR, WILLIAMSON HOUSE,
4th NGONG AVENUE,
P.O. BOX 42281 - 00100,
NAIROBI.

I/WE CAPITAL LETTERS PLEASE
of
being a Member/Members of Williamson Tea Kenya Limited hereby appoint
.....
of
or failing him/her the Chairman of the Meeting as my/our proxy to vote for me/us and on my/our behalf at
the Annual General Meeting of the Company to be held on 20th July, 2006 and at any adjournment thereof.

Dated this day of 2006

Signature

Address

.....

.....

I desire to vote* in favour of the resolution
 against

*NOTE: Unless otherwise directed a Proxy holder will vote as he thinks fit and in respect of the member's total holding.